

From Weixin to WeChat Analysing the Expansion Strategies of a Chinese Social Media Platform

Yuwen Zhang

▶ **To cite this version:**

Yuwen Zhang. From Weixin to WeChat Analysing the Expansion Strategies of a Chinese Social Media Platform. Philippe Bouquillion; Christine Ithurbide; Tristan Mattelart. Digital Platforms and the Global South, Routledge, pp.109-127, 2023, 9781003391746. ⟨10.4324/9781003391746-6⟩. ⟨hal-04306379⟩

HAL Id: hal-04306379

https://hal.science/hal-04306379v1

Submitted on 2 Jan 2025

HAL is a multi-disciplinary open access archive for the deposit and dissemination of scientific research documents, whether they are published or not. The documents may come from teaching and research institutions in France or abroad, or from public or private research centers.

L'archive ouverte pluridisciplinaire **HAL**, est destinée au dépôt et à la diffusion de documents scientifiques de niveau recherche, publiés ou non, émanant des établissements d'enseignement et de recherche français ou étrangers, des laboratoires publics ou privés.



Distributed under a Creative Commons CC BY-NC-ND 4.0 - Attribution - Non-commercial use - No Derivative Works - International License

6 From Weixin to WeChat

Analysing the Expansion Strategies of a Chinese Social Media Platform

Yuwen Zhang

Introduction

At a time when China is more than ever at the heart of global economic and political issues, representations of Chinese society and media remain to a large extent caricatured. As scholars have recently pointed out, China's globalising Internet and growth of digital platforms have largely escaped scholarly inquiry (Davis & Xiao, 2021; Hong & Harwit, 2020).

In March 2018, the Chinese social media mobile-oriented platform Weixin, known as WeChat,[1] crossed the symbolic mark of one billion monthly active user accounts worldwide. Since December 2022, Weixin and WeChat have had 1.313 billion monthly active users according to the *2022 Fourth Quarter and Annual Results* of Tencent. On its own, this application is a synthesis of various platform models, including Facebook, WhatsApp, PayPal, Instagram and Skype. Created in January 2011 by Tencent Holdings, Weixin, 'micro message' in Chinese, was initially a text and voice messaging mobile application. As it expanded, it has transformed and accumulated new functions, to the point that it seems today to be almost indispensable to Chinese society, as evidenced by the extremely high number of users. The international version of Weixin, WeChat, was launched in April 2012 in the context of the global expansion and strengthening of the enterprise. Weixin/WeChat has, in fact, built its own complex, dense and localised model, which is very different from its so-called Western counterparts. Through an analysis of its industrial strategy and functionalities, this chapter proposes to discuss the scale and complexity of China's most important communication tool, by explaining its structuring role in society, and by doing so, aims to contribute to better understanding its expansion, experimentation and current limitations.

The Chinese Internet has developed rapidly due to the concomitance between 'Chinese economic reform'[2] and the development of global technologies in the context of globalisation. The socio-political construction and development of the Internet in China can be divided into three waves according to Fang et al. (2014). The first one, between 1994 and 2001, emerged in the context of the ninth five-year plan (1996–2000) for the 'informatisation' of the country. It was marked in particular by the development of three large

DOI: 10.4324/9781003391746-7
This chapter has been made available under a CC-BY-NC-ND 4.0 license.

'portals': Sina, Sohu and NetEase. The second wave appeared between 2001 and 2008: discussion forums, social networking sites and e-commerce began to develop. The government stressed that 'the use of Information and Communication Technologies' (ICT) was necessary in order 'to propel and pioneer industrialisation' at the 16th National Congress of the Communist Party of China in 2002. From 2009 to 2010, the third wave of development began, characterised, in particular, by the rise of digital giants such as Alibaba and Tencent. At the same time, Internet users were no longer allowed to access Facebook or other digital networks, and Google had to abandon its service in mainland China. From that time onwards, as mobile phones became more popular, the government started to distribute 3G licences to providers. It seems that China was then between an economic opening and a political and ideological 'closure'. There are two main reasons for this strategic 'closure'. The first is the desire to favour the emergence of Chinese digital giants: 'Taking advantage of the almost complete closure of the Chinese market, Chinese counterparts have imposed themselves very quickly, with specificities quite similar to some of the Big Five' (Miège, 2020, p. 123). The second reason concerns the issues of digital sovereignty: not only for 'imposing' Chinese-style censorship, but also to limit American hegemony over the management of the Internet while keeping control over the latter's resources.

There is an evolution in the strategies of China's major Internet players. In the first phase, Chinese companies were all learning, imitating and introducing models of industrial exploitation of technology from developed countries, especially from Japan, South Korea and the United States. This is why, at the beginning and for a relatively long period, Baidu seemed to be the Chinese version of Google, Alibaba was the equivalent of Amazon, Sohu of Yahoo and Sina Weibo of Twitter. In a second phase, from 2002 to 2010, they started to explore development paths more adapted to Chinese Internet users and to the Chinese social environment, especially after having 'stopped' their cooperation with foreign companies around 2009. This was the case of Tencent, which explored ways that were more adapted to Chinese Internet users. Finally, in recent years and especially since 2016, China's Internet industry has gradually asserted its domestic monopoly status and started to compete abroad in order to expand its influence internationally. This is particularly the case for mobile phone manufacturers represented by Huawei and Xiaomi, for social media represented by WeChat and TikTok, as well as for the e-commerce activities of Alibaba. These companies have contributed to making the Chinese Internet industry, which had been lagging behind internationally, a competitor and a leader in some areas.

Established on 11 November 1998 by Huateng (Pony) Ma in Shenzhen,[3] after the success of its online chat software QQ and related products (virtual props, virtual currency), Tencent was listed on the main board of the Hong Kong Stock Exchange in 2004 which was the first step for Tencent to grow from a small software development company to one of the largest Internet service providers in the world. Its portfolio of activities is not limited to social

media, but includes a diverse range of activities across various sectors, including video games, online payments, online advertising, cloud computing service, entertainment (video streaming platform, music, and e-books) and e-commerce, with, for all of them, a significant presence in the Chinese market. Tencent is one of the largest publicly traded companies in the world, with the largest market capitalisation in China as a technology company. As of April 2023, Tencent has a market capitalisation of $427.68 billion, ranking 16th in global companies, compared to $616.50 billion for Meta (ranked 8th place) (CompaniesMarketCap, 2023). Tencent has experienced a significant growth in recent years, with its revenue and profits both increasing rapidly. Tencent's net profit reached 19% year-on-year growth in the fourth quarter of 2022 and achieved revenue of $79.6 billion[4] for the full year of 2022 (Tencent, 2023). In addition, Tencent is working closely with the government to promote the modernisation and informatisation of China and has a significant impact on the Chinese economy.

This chapter proposes to return to the historical conditions of the diversification of the services offered by Weixin, then to their main socio-technical and socio-economic characteristics and, finally, to its internationalisation strategies and their difficulties. These issues will be addressed in three successive sections. Using a socio-economic and cultural industries approach, this study is based on an important corpus of documents, including activity reports from public and private actors, the company's financial reports, official government documents and press articles both in English and Chinese. It also relies on fieldwork conducted during PhD research from 9 to 22 May 2019 in New York City and San Francisco in the US and from 25 July to 30 August 2019 in China, mainly in Chengdu, Shijiazhuang and Beijing.

Weixin, From an Instant Messaging Tool to a Social Media Platform

Over the years, Tencent has diversified its services and products, which now include digital social networks (QQ and Weixin/WeChat), an online gaming platform (QQ Games), a portal site (the QQ.com) and a video streaming platform (v.qq.com), among others. Before Weixin, another messaging service named QQ had been developed in the late 1990s by Tencent and was initially available for PC. Although QQ is also available on mobile phones, Weixin is the strategic product which is completely designed for mobile phone use. The rise of Weixin has thus followed the increase in mobile phone equipment among the Chinese population. This application particularly owed its success to its voice call and voice messaging service (a precursor at that time). Indeed, it addressed a linguistic and technological problem specific to China: the sending of ideograms. Voice messages enabled by Weixin offered a simplified communication possibility, in a context in which it can be technically complicated to send messages with a keyboard that is difficult to adapt to the language. In this section, we will show how the progressive development of

functionalities featured within the application has placed this application at the heart of social interactions in China.

Between 2012 and 2013, a series of new functions were introduced within the app – 'Moment', 'Official Account' (also known as 'Subscription Account') and then a digital payment service 'Weixin Pay'. Attracting a large number of users, these new functions have all highlighted the construction of the service through a network of 'social relations'.

As explained by Peng (2017), the first utility of these is above all social: the creation of the 'Moment' feature, introduced in April 2012, associated with messaging, aims to reproduce social relationships via comments or *likes* (p. 116). 'Moment' (literally in Chinese: circle of friends) offers a microblog service akin to Instagram, although it remains much more private in terms of access. 'Moment' is defined as the 'private circle built by a chain of acquaintances, in which people share and follow the life of their friends and relatives' (Tencent, 2015, p. 20). Indeed, one of the particularities of Weixin is its particular private and restrictive dimension. It is possible to become 'friends' with someone only if a mutual friend transfers contact or scans a user's QR code, and sends a friend request. Weixin is in this respect inspired by the real-life entourage environment, which it reproduces and extends. This has been the turning point for Weixin which means a 'smooth upgrade of the communication tool to a social platform' (Wu, 2017, p. 286).

Four months later, the feature called 'Official Account' was introduced and has been a milestone in the development of Weixin. It has an informative role and a utility that make WeChat a media of its own. This service initially allowed institutional or commercial actors to create a multimedia channel to publish information and editorial content in the form of a *broadcast message* or *push message*. It also allowed the circulation of advertising messages. Everything remains in a private circle, and the only information one can get is related to the accounts to which one subscribes. Thanks to this feature, since 2016, Weixin has become the first information platform in China, according to a report by the China Internet Network Information Center (2017, p. 52).

At the time of the arrival of these official accounts, they were expected to transform all aspects of production, broadcasting, reception and feedback for media players, and they aroused fears of content homogenisation (Cai & Weng, 2013). At the same time, news media outlets were invited to make full use of Weixin's subscription account services to explore the value of users' resources, i.e. to attract subscriptions, in order to strengthen and enhance their own brands. Everyone can now create an account of their own and play the role of media content producer, which makes the work of traditional media more complex. *Push messages* and articles from 'Official Accounts' have very specific characteristics, since the application usually allows only one push message per day. The challenge is to capture the attention of the users without being drowned in the mass. This is why around 9 pm, during the peak of the traffic, the most in-depth articles are put online.[5] This is a challenge for the print media, which must not only modernise by adapting to the new rules

of the game imposed by the system, but also and above all try to preserve their authority. News media are facing challenges to their editorial authority due to the appearance of sensational headlines aimed at increasing the number of clicks. For legacy information media, it is a challenge to maintain their reputation while following the rules of the Weixin platform. There are also strong inequalities between the news media: some nationally or regionally important media have important privileges, such as the ability to publish push messages several times a day.

Fifty months after the launch of the 'Official Accounts' function, the number of accounts numbers exceeded ten million, and maintained an average of 8,000 new accounts per day, which let Tencent sprout the idea of building a 'one-stop' social platform (Wu, 2017, p. 289). In Tencent's view, the next function that needed to be implemented was the mobile payment.

Weixin Technological and Industrial Strategy of Service Expansion

This section discusses the major steps in the Weixin expansion strategy in Chinese society and the achievement of a monopolistic position based on its social media activity, but which goes far beyond. Indeed, as Plantin and De Seta (2019, p. 258) explained, the implementation of Weixin's platform model in China is also shaped by distinctly 'techno-nationalist media regulations and an increasingly overt digital sovereignty agenda'. This section will further highlight the differences with other Western counterparts, from the attention given to the 'scenarios of use' to the structure of its revenue model as well as its 'all-in-one' system.

Beyond the Social Media Usage: Weixin Pay and QR Codes

Once the needs previously mentioned were created, once the traffic was generated, strategies were put in place to multiply the uses of the application. Unlike Western social media, for which the challenge is to have abundance and quality of content on their platform, the challenge of Weixin is not so much about creating content but rather creating new contexts of use, called 'scenarios of use.[6]' Indeed, Weixin promotes its applications' functionalities by suggesting to its users new situations where it can be used: for example, making an appointment with a doctor via his or her practice subscription account or having the results of the examination sent directly to the user via a push message. Such usage in specific situations is typical of the 'scenarios of use' that Weixin aims to create.

The challenge for the designers of Weixin proposals is to imagine 'scenarios of use' and to anticipate the specific situations and motivations of the users with respect to each of the services. For this, Weixin encourages its users to make use of the device in as many social configurations as possible to meet the various needs of everyday life: in daily household chores, on the bus, while waiting to be served in a restaurant, etc. Today, a Weixin user can

chat with his friends, publish content, make online purchases, buy from any store in China, play video games or even perform administrative tasks with the prefecture. When they move around, thanks to Weixin, Chinese people only need a cell phone.

Weixin has also become essential because of its digital payment service, Weixin Pay, launched in August 2013, which allows users to pay via their cell phone. Zhang and Zhou (2017) provided evidence that Weixin features are effective in promoting e-commerce products and services. As recent academic research has pointed out (Jiang, 2017; Liu, 2019; Plantin & De Seta, 2019; Shen & Chen, 2015; Shen & Luo, 2017; Zhang, 2016; Zhang & Li, 2018), Weixin Pay plays a decisive and specific role in establishing a standard for monetary transactions and a new societal culture to the extent that, as a result of Weixin Pay, cash payment has become impossible in some places in China. This has pushed many users, including the elderly, to use this service by necessity. A social obligation has arisen, forcing the use of the application.

Furthermore, money transactions between users, friends or not, have become possible via the sending of money in 'red envelopes' (or 'red packet'), a digital process that takes up a cultural tradition. It consists in sending red envelopes, an ancestral practice that has been transposed virtually. In times of celebration, the exchange of red envelopes is extremely important for the Chinese: in 2023, four billion envelopes were sent during six days and the volume of offline payment transactions using Weixin Pay rose by 23%, with the highest volume of offline payment transactions on the sixth day of the Lunar New Year; the volume of wine and travel orders increased 76%; restaurant orders increased 40%; and movie and performance orders increased 27% through Weixin Pay.[7]

Whereas the classic business model of a social network company depends very heavily on its advertising revenue, advertising is only a part of Tencent's revenue. The fees related to payment transactions and income from video games make up the bulk of its revenue. In fact, most of Tencent's revenue comes from value-added services business (VAS[8]), mainly from gaming revenue and social media revenue, especially from digital content subscriptions and sales of virtual props for games (see Table 6.1). Revenue from FinTech (payment transactions) and Business services (such as Tencent Cloud) accounted for RMB 47,244 million (equivalent to $6,835 million), i.e. 33% of total revenues in the fourth quarter of 2022 (Tencent, 2023). There have been seven consecutive quarters when revenue from financial technology and corporate services has accounted for more than 30% of total revenue according to Tencent reports. Out of one billion active users, 940 million have linked their Weixin account to their bank account in order to take advantage of mobile payments.[9] In the first half of 2019, 1.01 billion Chinese were using mobile payment and made an average of four transactions per day per user, for the amount of 157 yuan per day ($22.7).[10] 157 yuan is not a small amount of money considering that the national per capita disposable income is 42,359 yuan ($6,130) per year ($16.8 per day) in urban areas in 2019,[11] and Weixin profits from every payment transaction.

Table 6.1 Tencent income statement in million Yuan (RMB), 4th Quarter 2022

	Unaudited		*Audited*	
	4Q 2022	*4Q 2021*	*2022*	*2021*
Revenues	144,954	144,188	554,552	560,118
VAS	70,417	71,913	287,565	291,572
Online advertising	24,660	21,518	82,729	88,666
FinTech and business services	47,244	47,958	177,064	172,195
Others	2,633	2,799	7,194	7,685
Cost of revenues	83,132	86,371	315,806	314,174

Source: Tencent Fourth Quarter and Annual Results (2022, p. 8).

In China, offline payments in everyday life are now mostly made through QR codes. QR codes and Weixin are a mutual achievement, the ubiquity of the use of Weixin in Chinese social life having indeed been greatly facilitated by the use of the QR code, which is Weixin's main gateway (Zhang, 2021). For example, each Weixin user has a unique QR code to add new friends and to use for offline payment. Enterprises or individuals can encode their websites, their official accounts or other information into QR codes and then display them on different communicational materials such as advertising posters, so that users and clients can get quick access. These QR codes are omnipresent in Chinese society: on television, in shop windows, at restaurant and store checkouts, on the front page of the print media and on the cover of most books. In short, QR codes provide Weixin users with convenient functions for transferring information, communication, payment and promotion. Through this strategy, the platform is intruding into Chinese daily life while structuring it.

A Strategy of Monopoly: Building an 'All-in-One' System

If Weixin has managed to have such an influence and such a role in structuring Chinese society, it is also thanks to the 'Mini-programs', or applets, it contains. These are, so to speak, applications inside Weixin, which can also be understood as applications and websites that can only be opened and used via Weixin. Thus, instead of downloading an application like Weibo or Zhihu (Chinese Quora), for example, the user can just open their 'Mini-program' within Weixin, without any prior registration or creation of a user account. The same goes for daily services of access to hospitals and administrative services in many cities. Weixin collects a diverse set of information about its users, which allows it to better predict usage scenarios. As the 'Mini-programs' generate traffic and integrate a means of payment, they allow for a large number of companies to lower the cost of creating an application on which there may be very few active users. This type of service already covers twenty major sectors. There were 580,000 'Mini-programs' in January 2018[12] and 300 million active daily users.[13]

Another main aspect of Weixin's technological strategy is about staying 'light', meaning that users don't need to install and download full versions of other apps themselves, and can use their features through the applet version ('Mini-programs') on Weixin, something which skips the cumbersome new user registration step, as well as saving phone memory. That is why its 'Mini-programs' take the form of extensions and offer services according to the needs of the users. As a 'semi-finished tool', Weixin expects third-party users to complement its functionalities. At present, the 'Mini-programs' are a more fragmented medium capable of meeting a variety of needs emanating from different actors. In 2020, in line with the company's strategy of facilitating the creation of content by the users themselves, Xiaolong (Allen) Zhang, creator of Weixin, said that 'Mini-programs' of the *live stream* type would soon go live to meet the demand for livestreaming content needs.[14]

When a cost-free platform brings together useful tools for social life, information, functions related to daily consumption and even many municipal administrative services, it creates an extremely high level of dependency in its users. The fact that today huge groups of Weixin users scan QR codes ubiquitously in their lives, through different scenarios (Hu, 2015; Peng, 2015), results in a lot of data being generated every minute. For example, the extension function on the QR code package provides additional services and information about consumer markets. This gives companies an unprecedented ability to test the performance of their advertising promises through digital tracing (Cochoy & Smolinski, 2016).

All of these data, the algorithms that analyse it and the burgeoning digital devices have produced a powerful tool that the company and the state use to their advantage. Indeed, it has been since the implementation of the government's 'smart city' economic and political plan[15] in 2014 and 'Internet Plus' strategy[16] in 2015 that artificial intelligence and big data technologies have been integrated in an effort to strengthen the Party's ability to govern (Creemers, 2015). The behaviour of users is summarised in the form of a 'score', a credit that can offer real advantages or, on the contrary, penalise them, for example, by prohibiting them from taking the high-speed train, within the more general framework of the national system of citizen reputation, also called the 'Social Credit System', which means that the government rates citizens. Poorly rated citizens are threatened with exclusion from social interactions. Thus, between 'security' and 'surveillance', the links between the Weixin device, the ubiquity of the QR code and data collection and control are quite close in China.

Chinese media adopt the term 'ecosystem' to describe Weixin because the messaging system allows users to take advantage of the various services and content provided by third parties without leaving Weixin, in an all-in-one system. Plantin and De Seta (2019) consider Weixin as an example of a non-Western digital media service that owes its success to its platformisation, a process presented as the 'restructuring of economic activity and sociability to the advantage and profit of the companies that own them' (p. 258). They argue that this strategy distinguishes Weixin from the most dominant internet

companies who rather rely on their infrastructural properties to expand and maintain their market power (*ibid.*). The abundance of features, the diversification of services and its powerful aggregator role make it an original precursor tool compared to Western social networks.

The Dilemmas of WeChat's Internationalisation

There is nonetheless a contrast between the growing influence of Weixin in China and its influence outside this country. Weixin began to expand internationally by using its English name – WeChat – in 2012. However, this internationalisation has met many obstacles. In particular, WeChat has encountered significant difficulties in attracting non-Chinese users in an environment with widespread suspicion towards Chinese products and in a highly competitive market where platforms such as WhatsApp and Facebook Messenger tend to predominate.

Research by Chinese scholars on the internationalisation of social media has mainly focussed on three aspects: first, how non-Chinese social media fares internationally, such as the development of certain social media platforms in Southeast Asia; second, the strategic opportunities of social media internationalisation, such as the importance of social media from the perspective of international communication (Zheng, 2015); and third, the trajectory of specific Chinese social media, such as QQ, Weixin (WeChat), Weibo and TikTok, their impact and significance (Lai & Tian, 2019; Xiang & Lv, 2020; Yang et al., 2020). A few studies have been conducted on Tencent's overall internationalisation, although a majority have focussed on the internationalisation of the company's online game business (Zhang & Jin, 2021) and cross-border mergers and acquisitions (M&A) (Ye & Hu, 2020; Zhang, 2016). There have also been discussions about the internationalisation of mobile payments, specifically focussed on Alipay and WeChat (Liu et al., 2018; Yin & Zhou, 2020). Other research has analysed the difficulties and countermeasures that Chinese social media companies have faced when extending their business abroad by examining the internationalisation of Weixin (Luo, 2014; Zhu, 2014).

Yang, Li and Jia (2020) explained that the overseas development of Chinese Internet companies can be divided into three phases according to product attributes: the first phase was dominated by tool applications; the second phase shifted to tools with social attributes, largely represented by WeChat and Alipay; and the current third phase is dominated by user-generated content social platforms that focus on content creation and sharing, especially those with short video content, such as TikTok. Xiang and Lv (2020) also argued that there has been an evolution from the budding forum-based stage (1994–2004) to the replication of Western social media (2005–2015) and with a focus on localised social innovation since 2016.

This last section analyses how Tencent's internationalisation has responded to government demands, especially those of the 'Go Out Policy',

and identifies some of the main aspects of its strategy for geographical and financial expansion as well as the difficulties currently encountered abroad by the Chinese platform.

Going Abroad

After inviting foreign companies to 'come in' in the 1990s, China's 'go out' or 'go globally' strategy has been raised to a new level in the context of strengthening national soft power (Nye, 1990) since 2007's 17th National Party Congress. The year 2013 was an important time for Chinese companies and Chinese media to go abroad. At this time, President Xi not only proposed the 'One Belt, One Road' policy[17] but also gave clear instructions to these companies: 'Tell China's stories well and spread China's voices' (Xi, 2013, p. 2). Keane and Wu (2018) highlight that 'go out' embodies three main levels: the first refers to the going out of China's products (i.e. media products and services); the second refers to the transmission of ideology (via image and voice); and the third refers to Chinese organisations, people and delegations (investment, study, travel) (p. 52). In other words, as far as digital platforms are concerned, the content they produce and the ways they distribute it can serve the purpose of 'going global'.

The significance of WeChat's internationalisation for China's apparatus of international communication is that it could help break the US-dominated global communication network focussed on social media and digital platforms (Xiang, 2017). The Internet is considered by the Chinese authorities as an indispensable medium for facing the country's global economic, commercial and political competition more effectively and as an important vector for the international development of Chinese companies. As the China's National Development and Reform Commission (2022) confirmed:

> Supporting platform enterprises, like Tencent and Alibaba, to go abroad and creating a favourable environment for the development of platform enterprises and their international service ecosystem is of great practical significance to promote more SMEs, products and services to 'go global', enhance the international competitiveness of China's digital economy and achieve a high level of openness to the outside world.

In the context of the mobile Internet, Weixin has been considered Tencent's strategic product and has thus been the focus of Tencent's international strategic transformation (Zhang, 2016). As such, WeChat's international expansion has been seen as a means for proving the strength of 'Chinese creation' to the world (Xiang, 2017).

Several features of its strategies for geographical development can be identified. First, WeChat focussed on small surrounding markets. WeChat did not begin by targeting the European, American, Japanese or South Korean markets, but rather Hong Kong and Taiwan, where the cultures are slightly

different from that of mainland China but the languages are similar. By testing the waters in Hong Kong and Taiwan in early 2012, the company was able to receive more feedback from users of different cultural backgrounds and to lay a strategic foundation for further internationalisation (Zhu, 2014). WeChat's geographical expansion continued in 2013 in Southeast Asia, Japan, South Korea, Europe and the US, with the aim of reaching the Chinese diaspora in Europe and North America. Xiang (2017) believed that during the early stage, WeChat's strategy of first spreading to nearby Asian territories as well as developing countries has begun to see success. Luo (2014) called this a 'two-step promotion' strategy, which means first occupying the surrounding market, then competing with others for the remaining markets. This is why Malaysia, Thailand, Vietnam, India and Southern and Southeastern Asian countries have been considered important markets, aided by the fact that these countries have large populations with relatively low smartphone penetration rates as well as significant market potential (Luo, 2014). Furthermore, Malaysia, Thailand, India and Indonesia are considered 'One Belt, One Road' countries. In other words, WeChat's internationalisation first focussed on emerging markets in Southeast Asia, where the mobile Internet population was also skyrocketing while simultaneously building WeChat's ecosystem to find a unique position and differentiation in the global market.

Tencent international expansion should also be considered through its financial strategy. Tencent has adopted multiple methods for entering international markets, mainly equity participation and investment, holding and acquisition. According to Tencent's financial reports, the focus of its overseas expansion has been overseas acquisitions. According to the *2013–2014 Tencent Social Responsibility Report*, among the 180 overseas and domestic investment and M&A projects announced, the number of overseas investment and M&A cases reached 134, about three times more than the number of domestic M&A cases.

Tencent began to set up its internationalisation department in 2005 to take charge of foreign affairs, and in the same year, the company successfully made its first step towards internationalisation by investing abroad and acquiring GoPets, a Korean online game company. Tencent's overseas M&A activities are largely related to its shareholders. For example, Tencent entered the Indian market through Naspers'[18] Indian subsidiary MIH India Global Network in 2008, which owns a Facebook-like site called Ibibo. It also made large investments in Digital Sky Technologies (DST), the largest Internet company in the Russian-speaking market that also owns Mail.ru, with Naspers as its largest shareholder, thus entering the Russian and Central European markets. In 2013, Tencent has even invested in its competitor 'Korean WeChat', KaKaoTalk, gaining a 13.84% stake and owning 12% of the capital of Snap, acquired in 2017. The video game industry is the key area of Tencent's overseas investments and M&A. Tencent has become one of the world's largest video game publishers who owns several video game development studios, including Riot Games, Epic Games, Supercell and Activision Blizzard.

Since 2013, Tencent has set up offices in Hong Kong, Taiwan, Southeast Asia and the US. These offices are responsible for the research and development of potential local WeChat users and the establishment and expansion of the company's customer relationships (Luo, 2014). A series of industrial partnerships has also been developed with local players. For instance, in February 2013, Tencent established a joint venture with PT Global Mediacom, an Indonesian media company in order to promote WeChat's localisation. In the case of Africa, it is important to highlight how earlier partnerships, built with national players, facilitated the launch of WeChat on the continent. Indeed, in 2001, the South African Naspers Group purchased 46.5% of Tencent's shares (reduced to 28.78 % in 2022 through its subsidiary company Prosus). In 2013, WeChat allied with Naspers to launch the WeChat Africa application in South Africa and Nigeria as major countries. These active overseas investments of Tencent do not only reflect the pursuit of economic interests of Tencent as a company but also the strong support of the Chinese government for corporate exports in terms of policy. Through joint ventures and M&A, Tencent can gain access to local markets, users and other resources as well as technology and service content absorption, thus laying a foundation for the landing of other products such as WeChat overseas (Yang et al., 2020).

Tencent also established strategic local cooperation with various public institutions such as museums or tourism departments in order to develop projects of digitalisation and promotion of culture. For example, in 2019, it released the 'Global Digital Museum of National Treasures' project in cooperation with the French museum community, through which 25 Chinese cultural relics provided by the Guimet National Museum of Asian Arts were exhibited through WeChat. In the same year, Tencent used WeChat to promote South Africa to millions of Chinese tourists following a two-year agreement with the South African Department of Tourism.

Another important aspect consisted of several adaptations of its design and marketing strategy. About 21 languages, including Thai, French, Indonesian, Vietnamese and Portuguese, were launched in 2012. The platform also began to support the direct import of Facebook friends through user contacts and to support Android and other mobile devices that were the mainstream operating systems at the time. In several countries, WeChat has asked local celebrities to feature in advertisements that fit the local conditions, and each country's version is different.

As a result of these multiple efforts, by the end of 2014, while having more than 500 million national users, it had more than 100 million users in South and Southeast Asia, Europe, South Africa and elsewhere (Tencent, 2015). However, these good times did not last long, and a turnaround came about soon after as WeChat struggled to break through bottlenecks in overseas user growth. As Ye and Albornoz (2018) explained, 'going out' is in many respects less important than 'going in', especially for Chinese media platforms. It is relatively easy to 'go out' through mergers and acquisitions in foreign

companies, but it is much more difficult to achieve the internationalisation of the product by integrating local markets. In other words, it is easier to transnationalise financially than to transnationalise industrially.

Main Difficulties

While the users of the mainstream American social media platforms are from a wide variety of countries and regions around the world, with the exception of a few countries, WeChat's international users are mainly Chinese people overseas. Chen (2017) believed that WeChat has adopted a strategy of capturing the overseas Chinese market first and then of spreading outward from there. Over-reliance on Chinese users may also explain the quick spread of the platform in Southeast Asia, as the Chinese-speaking cultural community has been an effective facilitator of China's social media internationalisation (Lai & Tian, 2019). WeChat was able to grow through overseas Chinese, especially in regions with a large Chinese diaspora such as Southeast Asia, whereas WeChat does not have a natural appeal to non-Chinese markets. However, further knowledge of the number of overseas users is not possible. Indeed, in Tencent's official report, the user data of Weixin and WeChat have been always merged. Tencent has not disclosed WeChat's specific activity data for a long time. Furthermore, the information about the percentage of overseas users who are non-Chinese users is not public.

This section proposes to identify various difficulties encountered by the Chinese platform in its worldwide expansion and in its attempts to localise in a diversity of regional circumstances. There is, to begin with, competition from WhatsApp or regional instant messaging services such as Line.[19] WhatsApp, which was launched in 2009, has had a first-mover advantage in multiple countries, and once users have accumulated social relationships, their willingness to switch platforms is relatively low. In several regions, WeChat is ranked below WhatsApp's timely communication tools, as this cost-free instant messaging service has also proposed a 'voice' message function.

WeChat is also relatively 'bloated' as a product. It has many functions, but it has not modified these functions or services according to the habits of local users before entering specific regions, as the Indian example shows below. Even Facebook separates its main chat software, Messenger, from the social media platform itself, allowing the former to be more in line with local users' habits. According to Himanshu Gupta, the Associate Director of Marketing Strategy of WeChat India from 2012 to 2015, 'the product was designed with Allen Zhang's vision and had peculiar features to the effect that worked well in the Chinese market but didn't work well for Indian users' (quoted in Shaikh, 2018). For example, WeChat did not take into account that Indian users were not accustomed to chatting only after sending and accepting friend requests. Nor did it take into account various technical issues related to phone versions not being able to support WeChat's services or the need

for default compression of images to save traffic costs. As such, the Indian WeChat appears more like a product built entirely for Chinese users but with the language changed (Shaikh, 2018).

India and China have vastly different cultures, diverse religious beliefs and marked differences in urban structure and economic development, which means that WeChat, which lacks first-mover advantages compared to WhatsApp, will inevitably be abandoned by the market if the habits and usage restrictions of local users are not fully considered. Clearly, this difficulty related to the socio-technical conception of the service is reflected in WeChat's many overseas markets, where its overly Chinese way of design puts it in a dilemma. It does not seem to have found a way to open up the local market without losing overseas Chinese users at the same time.

Moreover, for local non-Chinese users, WeChat does not generate much content that is of interest to them. Perhaps the large population base in Southeast Asia and the Middle East and the slightly later start of the mobile Internet created early dividends for WeChat, but it has been difficult to replicate this success in other regions. Compared to products such as WhatsApp, which focus on a single service to meet users' needs, WeChat is an 'all-in-one' product which is dependent heavily on its service 'ecosystem'. Although it is essentially an instant messaging or a social media platform, its other functions that are advantageous in mainland China are not attractive or cannot be used in overseas markets. In 2019, only Chinese bank card holders were able to use WeChat Pay, not to mention that the widespread use of WeChat Pay also requires a sufficient number of merchants. The feature like the Chinese 'red envelope' is effectively a special feature only for Chinese users because of traditional cultural differences. As the key feature that has helped Weixin successfully capture the mobile payment market (Zhang, 2021), the 'red envelope' has little appeal to non-Chinese users. As for 'Official Account', this function is not widely used by overseas media organisations because of censorship, which means that few overseas news media publish information on it. Thus, WeChat's 'ecosystem' of 'from linking people to people, to linking people to services' is very hard to establish overseas. Except for social communication functions, WeChat does not meet the needs of local overseas markets in terms of mobile payment, information access and third-party services; it lacks a precise product positioning in the international market for non-Chinese users.

Third, it is difficult to break away from the brand image of 'Made in China', even in the surrounding areas, and there is a cognitive bias towards 'Made in the Mainland'. Trust, social presence, stickiness and word-of-mouth are all factors that influence people's online practices (Chen, Wu & Chung, 2008). With this in mind, the 'Made in China' label could easily brand WeChat with the shadow of the Chinese government, which is likely to be scrutinised by developed countries, such as the US (Luo, 2014). Indian users, for example, have many suspicions about China's handling of privacy and personal data. In fact, international users have expressed widespread concerns

about the privacy and data security of Chinese software. This, coupled with the Chinese government's censorship of information and the political intentions of Chinese companies expanding overseas, has developed into a 'political obstacle' for WeChat's global expansion (Xiang, 2017). For Tencent, how to cooperate with the government while removing the 'political background' tag is also a major difficulty to overcome in order to 'go globally'.

Conclusion

WeChat is an emblematic example of the success of a Chinese platform. This success is based on interlocking factors with promising socio-technical choices based on instant messaging, the QR code and a payment system that makes it possible to capture users in a closed universe based on very strong social interactions between users, and that provides access to a complex and very diverse set of services. The economic model combines revenues from users and also from the providers of goods and services operating on the service, which facilitates user access and thus promotes a virtuous cycle of new services and users. The platform also benefits from strong support from the political authorities because it actively contributes not only to the policy of managing the Chinese population but also to the internationalisation of China's economy and social model. However, despite the many strategies deployed, this internationalisation seems difficult to deepen as the factors that have made the platform successful in China may constitute obstacles to its internationalisation.

Acknowledgement

This Chapter is derived in part from an article published in *Effeuillage*, 2020/1 (n°9), available online: https://doi.org/10.3917/eff.009.0010.

Notes

1 In this chapter, Weixin is used to refer to the mainland version and WeChat to refer to the overseas version. According to Tencent's explanation, users bound to a cell phone number in mainland China are considered Weixin users, while WeChat users use non-mainland China phone numbers. Some features are only available to Weixin users such as Channels (short video) and Weixin Game Center. Weixin and WeChat offer different terms and policies for users to use.
2 改革开放, *gaige kaifang* in Chinese. This term highlights the role played by digital technologies in the evolution of the economy and society.
3 Shenzhen is one of the 'special economic zones' of China, located in Guangdong Province and bordering Hong Kong.
4 Figures stated in USD are based on USD 1 to about RMB 6.96.
5 Information from 'WeChat Data Report', Tencent, September 2019, p. 3.
6 使用场景, *shiyong changjing* in Chinese. According to Peng (2015), the essence of mobile communication is scenario-based services (p. 20); in other words, a usage scenario refers to the 'most likely' 'scenario of use' in which an application will be used.

7 According to the '2023 WeChat Spring Festival Data Report', Tencent, January 2023.
8 VAS, value-added services revenues, means revenues from mobile games and social networks.
9 '2019 Q1 Third-Party Mobile Payment User Research Report', Ipsos, May 2019.
10 *Ibid*.
11 According to 'Resident income and consumer spending in 2019', Bureau of Statistics, 2020. http://www.gov.cn/xinwen/2020-01/17/content_5470095.htm.
12 '2017 Weixin Economic and Social Impact Study Report', China Academy of Information and Communications Technology Industry and Planning Research, April 2018, p. 3.
13 Information from '2019 WeChat Data Report', Tencent, September 2019.
14 '2020 Weixin Open Course PRO', 9 January 2020. Conference started in Guangzhou with the theme 'Unfinished Always Beta', Weixin founder Xiaolong Zhang and his team shared the achievements and reflections of Weixin.
15 'National Urbanisation plan for 2014–2020', Central Committee of the Communist Party of China and the State Council, 16 March 2014.
16 'Premier urges use of Internet Plus to boost growth', The State Council, 25 June 2015.
17 In September and October 2013, President Xi proposed the strategic concepts of building the 'New Silk Road Economic Belt' and the '21st Century Maritime Silk Road', respectively, formerly known as 'One Belt, One Road'.
18 As Tencent's major stakeholder, Naspers Group, the South African media giant, maintains a certain level of control on Tencent through agreements: 'Tencent and MIH have entered a series of licence agreements that grant MIH and its affiliates a sole and exclusive licence to use Tencent's proprietary technology and intellectual property in Indonesia, Thailand, Greece, Cyprus, and South Africa' (Tang, 2020).
19 Launched in Japan in 2011 by NHN Japan, Line is a popular messaging application and social media in Asian countries and areas like Japan and Thailand. Like Weixin in China, it is also a platform that integrates various daily functions in Japan, such as Line TV, Line Pay or Line Manga.

References

Cai, W., & Weng, Z. (2013). WeChat subscription account: Another basis for change in reporting - the case of 'CCTV news'. *Shanghai Journalism Review, 7*, 40–44.

Central Committee of the Communist Party of China and the State Council. (2014). *National urbanization plan for 2014–2020*, March 16.

Chen, Y. (2017). Social media and identification of overseas Chinese: A study on the usage of WeChat of Chinese immigrant women in Switzerland. *Journalism Evolution, 1*, 54–60.

Chen, Y., Wu, J., & Chung Y. (2008). Cultural impact on trust: A comparison of virtual communities in China, Hong Kong, and Taiwan. *Journal of Global Information Technology Management, 11*(1), 28–48.

China Academy of Information and Communications Technology Industry and Planning Research. (2018). *2017 Weixin economic and social impact study report*.

China Internet Network Information Center. (2017). *The 39th China statistical report on internet development*.

China National Development and Reform Commission. (2022). *Promoting the international development of China's platform companies*. January 19. https://www.ndrc.gov.cn/xxgk/jd/jd/202201/t20220119_1312339.html?code=&state=123 [accessed April 08, 2023].

Cochoy, F., & Smolinski, J. (2016). Traces and consumer spaces: Socio-geographical digital technology of QR-code use. *Netcom*, *30*, 61–80.
CompaniesMarketCap. (2023). *Global ranking: Largest companies by market cap*. April. https://companiesmarketcap.com/ [accessed April 28, 2023].
Creemers, R. (2015). The pivot of Chinese E-governance. *Perspectives Chinoises, 4*, 5–14.
Davis, M., & Xiao, J. (2021). De-westernizing platform studies: History and logics of Chinese and US platforms. *International Journal of Communication, 15*, 103–122.
Fang, X., Pan, K., Li, Z., & Zhang, J. (2014). Chinese internet in 20 years: 3 waves and 3 innovations. *Shanghai Journalism Review, 4*, 3–14.
Hong, Y., & Harwit, E. (2020). China's globalizing internet: History, power, and governance. *Chinese Journal of Communication, 13*(1), 1–7.
Hu, Z. (2015). The key and the way to integrate traditional media with emerging media. *News & Writing, 5*, 22–26.
Ipsos. (2019). *2019 Q1 Third-Party Mobile payment user research report*. May 22. https://www.ipsos.com/zh-cn/yipusuoipsoszhongbang-2019diyijidudisanfangyidongzhifuyonghuyanjiubaogao [accessed August 18, 2023].
Jiang, J. (2017). Gambling and social illusion: Ethical reflection on the chaos of red envelopes seized by WeChat groups. *Nanjing Journal of Social Sciences, 3*, 113–120.
Keane, M., & Wu, H. (2018). Lofty ambitions, new territories, and turf battles: China's platforms 'go out'. *Media Industries*, *5*(1), 51–68.
Lai, X., & Tian, Z. (2019). Social media internationalization: The global picture and China's way forward. *Contemporary Communication, 4*, 54–58.
Liu, H. (2019). An Interpretation of the social and cultural significance of WeChat's red envelopes - based on the survey of a WeChat group from the 'post 70s'. *Journal of Western, 3*, 102–107.
Liu, P., Hou, D., & Zhang, F. (2018). Motivations and challenges of China's mobile payment internationalization. *Practice in Foreign Economic Relations and Trade, 5*, 57–60.
Luo, Z. (2014). The internationalization of WeChat and its implications for media 'going out'. *International Communications, 1*, 52–53.
Miège, B. (2020). *The ongoing digitization of society: Benchmarks and challenges*. Grenoble, PUG.
Nye, J.S. (1990). *Bound to lead: The changing nature of American power*. Basic Books.
Peng, L. (2015). Scene: The new elements of media in the mobile era. *Shanghai Journalism Review, 3*, 20–27.
Peng, L. (2017). *Introduction to network communication*. China Renmin University Press.
Plantin, J.-C., & De Seta, G. (2019). WeChat as infrastructure: The techno-nationalist shaping of Chinese digital platforms. *Chinese Journal of Communication, 12*(3), 257–273.
Shaikh, S. (2018). How WeChat faded into the silence in India. *Factor Daily*. October 08. https://archive.factordaily.com/how-wechat-faded-into-the-silence-in-india/ [accessed April 08, 2023].
Shen, S., & Chen, Y. (2015). The impact of WeChat's red envelopes on interpersonal relationships. *Public Communication of Science & Technology, 8*, 110–111.
Shen, C., & Luo, Z. (2017). Research on the duality of WeChat red envelopes social and payment functions. *Journalism Lover, 3*, 59–64.

Statistics Bureau of China Government. (2020). *Resident income and consumer spending in 2019*. http://www.gov.cn/xinwen/2020-01/17/content_5470095.htm [accessed April 08, 2023].
Tang, M. (2020). *Tencent: The political economy of China's surging internet giant*. Routledge.
Tencent. (2015). *For the connection 2013–2014, Tencent corporate social responsibility report*.
Tencent. (2019). *2019 WeChat data report*.
Tencent. (2020). *Weixin open course pro*. https://www.tencent.com/en-us/media/weixin-livestream.html [accessed April 20, 2023].
Tencent. (2023a). *2022 Fourth quarter and annual results of Tencent*.
Tencent. (2023b). *2023 WeChat spring festival data report*.
The State Council. (2015). *Premier urges use of Internet Plus to boost growth*. June 25. http://english.www.gov.cn/premier/news/2015/06/25/content_281475134144826.htm [accessed April 29, 2023].
Wu, X. (2017). *Tencent 1998-2016: Survivor, challenger and leader*. Zhejiang University Press.
Xi, J. (2013). Xi Jinping: Ideological work is an extremely important task of the party. *Xinhua*. August 20. http://www.xinhuanet.com//politics/2013-08/20/c_117021464.htm [accessed April 08, 2023].
Xiang, D. (2017). From the internationalization of WeChat to the participation of social capital in foreign communication. *International Communications, 5*, 22–23.
Xiang, D., & Lv, F. (2020). Opportunities and challenges of China's social media expansion overseas. *International Communications, 1*, 19–21.
Yang, W., Li, J., & Jia, X. (2020). Observation of the characteristics of Chinese social media overseas development and international communication. *International Communications, 11*, 10–13.
Ye, P., & Albornoz, L. A. (2018). Chinese media 'going out' in Spanish speaking countries: The case of CGTN-español. *Westminster Papers in Communication and Culture, 13*(1), 81–97.
Ye, N., & Hu, L. (2020). Research on performance of Tencent's cross-border mergers and acquisitions. *Exploration of Financial Theory, 189*, 61–68.
Yin, C., & Zhou, Y. (2020). Discussion on the development of China mobile payment internationalization under the background of cultural confidence. *Economic Forum, 3*, 35–46.
Zhang, F. (2016). A study on the mode of operation of WeChat red envelopes in Chinese family relationships during the spring festival: An analysis based on media anthropology. *Nanjing Journal of Social Sciences, 11*, 106–107.
Zhang, L., & Li, Y. (2018). The changing media function of WeChat red envelopes in the era of dual currencies. *Journal of Zhejiang University of Technology (Social Science), 4*, 425–430.
Zhang, L., & Zhou, M. (2017). WeChat marketing strategies for promoting E-commerce in China. *Journal of Business Research, 71*, 136–141.
Zhang, S., & Jin, Y. (2021). Research on the current situation and strategies of online games 'going abroad' under the wave of internationalization - taking Tencent games as an example. *New Media Research, 16*, 101–106.

Zhang, Y. (2021). *Interaction between the industrialisation and commodification of digital social networks and the transformation of media devices: The case of WeChat*. Sorbonne University.

Zheng, S. (2015). The globalisation of mobile social media. *Journalism Lover, 1*, 85–87.

Zhu, T. (2014). Analysis of our country's social applications going out from the perspective of WeChat internationalization. *Knowledge Economy, 18*, 48–49.